

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

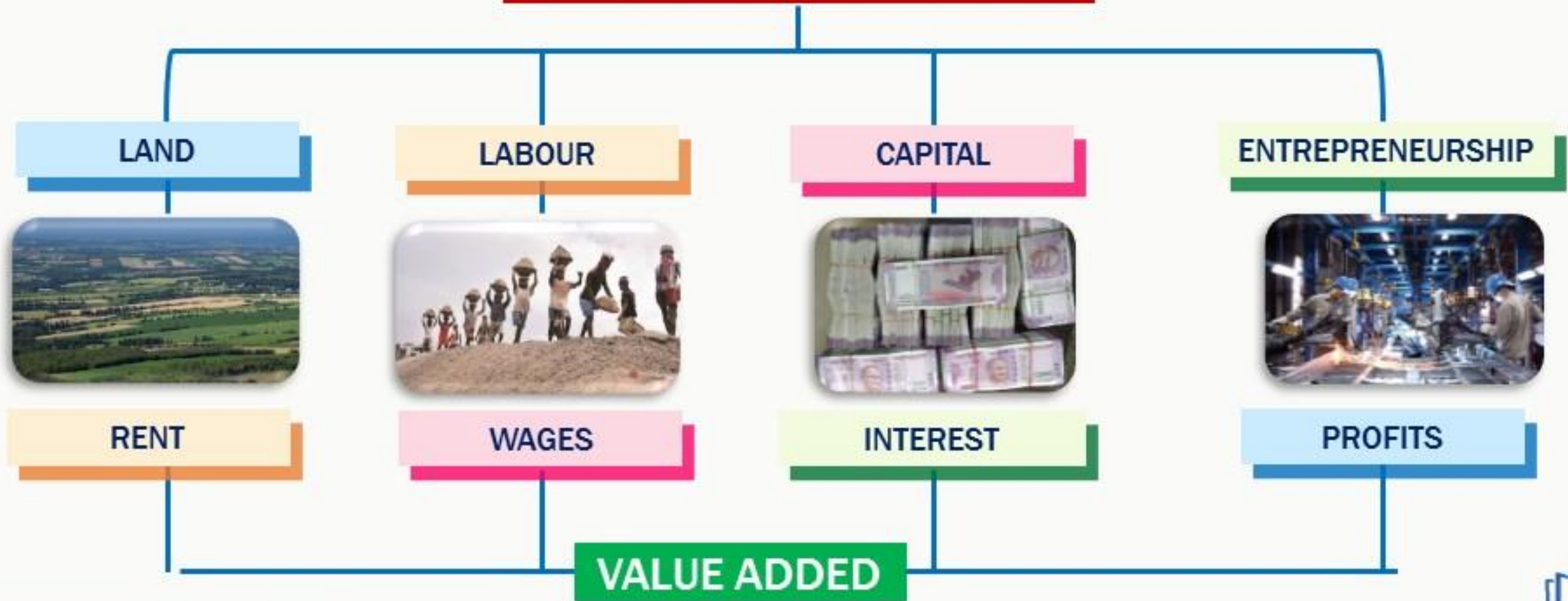
MODULE - 7

- GVA & GDP
- Inflation
- WPI / CPI
- Types of Inflation
- Effect of Inflation
- Measures to Control Inflation

GDP CALCULATION

1 VALUE ADDED METHOD

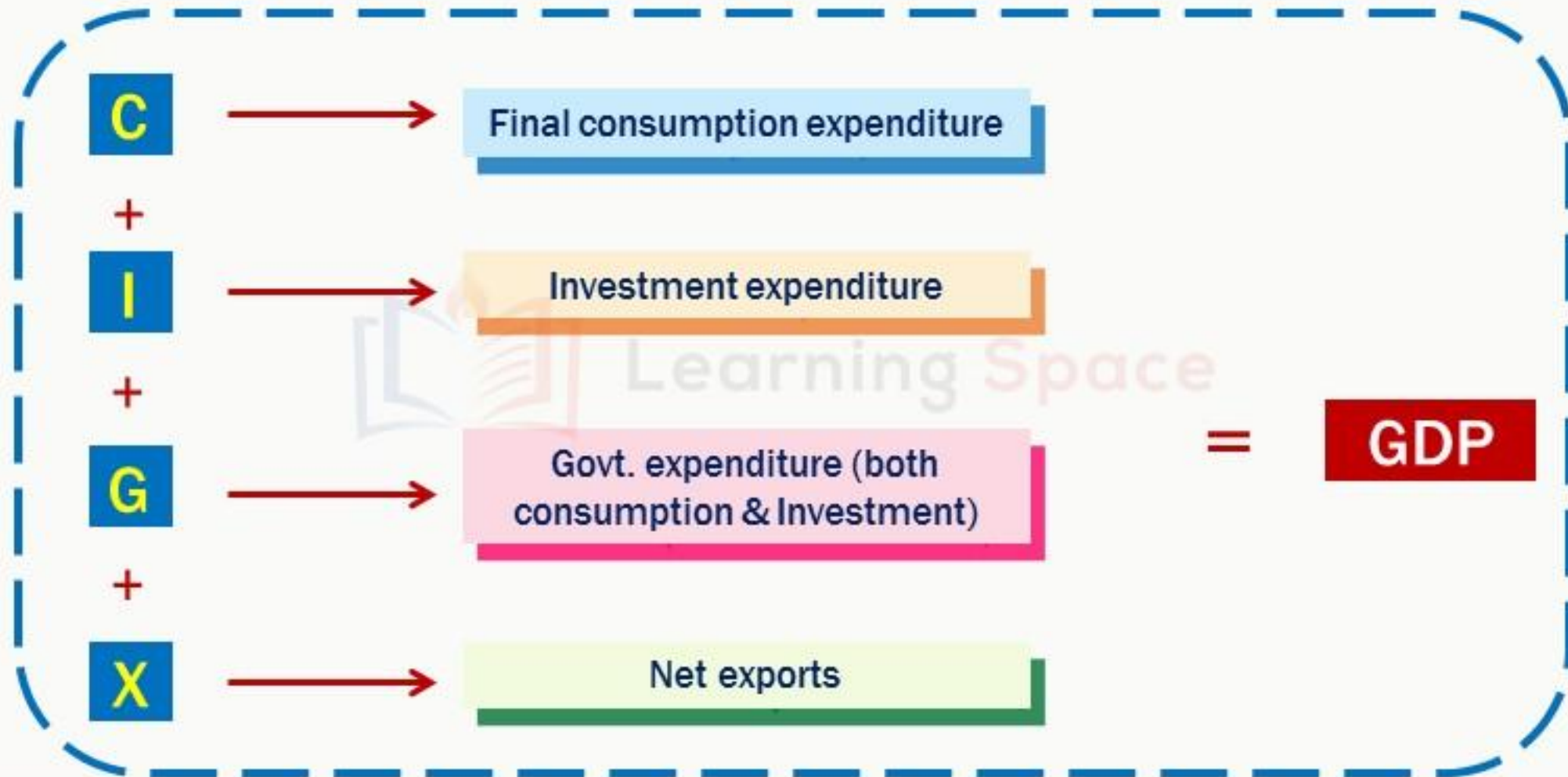
FACTORS OF PRODUCTION



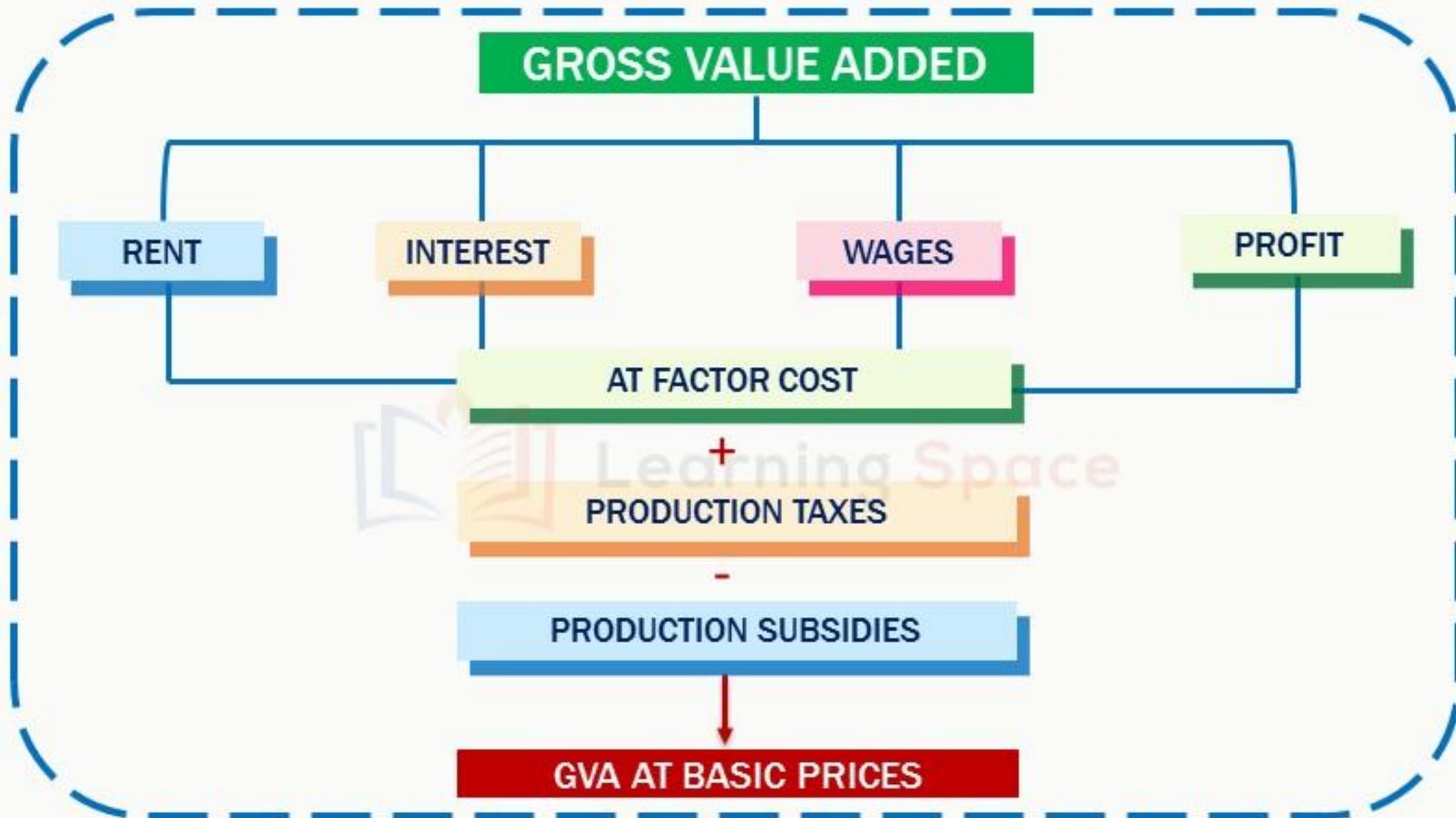
GDP CALCULATION

2

EXPENDITURE METHOD



GDP CALCULATION BY VALUE ADDED METHOD



GDP CALCULATION BY VALUE ADDED METHOD





WHAT DO YOU UNDERSTAND BY INFLATION?



0% to 2%



4% to 6%

- 1 This is the rise in the general price level over a period of time.
- 2 It is a common problem for the developing countries with high growth rates.
- 3 Tackling high inflation is the problem faced by developing countries and not having proper inflation is the problem faced by some developed countries.

- 4 If inflation is too high, then it leads to loss of value of currencies.
- 5 If the aggregate supply of goods is not up to the demand, then inflation may take place.



TWO WAYS OF MEASURING INFLATION

WHOLESALE PRICE INDEX



- It is at the wholesale level.
- The base year is 2011-12.
- Released by the Office of the Economic Adviser.
- It does not include services.

CONSUMER PRICE INDEX



- It tracks prices at retail level / consumer level.
- Released by the Central Statistics Office.
- Base year is 2011-12.
- Food and Beverages has got more weightage.
- It includes some element of services.

CORE INFLATION

If we subtract the volatile price rise in fuel and food, then it is known as Core Inflation.

TYPES OF INFLATION

1 BASED ON % INCREASE

TYPES OF INFLATION	INFLATION IN %
CREEPING INFLATION	1% - 3%
WALKING INFLATION	4% - 10%
RUNNING INFLATION	11% - 20%
GALLOPING INFLATION	21% - 50%
HYPER INFLATION	> 50% (Sometimes, much higher than this)



NOTE : These percentages are not sacrosanct and vary from source to source.

2

BASED ON FACTORS

1

COST PUSH INFLATION

When the rise in prices is due to higher costs of production.

SUPPLY SIDE



STRUCTURAL



2

DEMAND PULL INFLATION

- It arises when there is an excess of demand for goods over their supply.
- When there is more and more money in circulation, it may give rise to demand and hence it leads to demand-pull inflation.





INFLATION ... ITS CONSEQUENCES



1 People below poverty line will be the worst affected because of three reasons.

- Their wages are not indexed.
- Most of them are in informal jobs
- Indirect taxes effect poor and rich alike but, in times of inflation they may not bear the burden.



2 As more than 90% of people are working in informal jobs, inflation puts a heavy burden on these employees, as the salaries are not indexed to inflation.





INFLATION ... ITS CONSEQUENCES



3

Rapid rise in prices hinders the process of the growth as it raises the cost of production.



4

Inflation adversely affects the savings on the part of the people as they have to pay higher prices. Real rate of return will be reduced and senior citizens will be worst affected.



Inflation effects poor much more than the effect on the rich.





MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

1

FISCAL MEASURES



MINISTRY OF
FINANCE

PUBLIC REVENUES

- The Government raises the rate of the direct taxes.
- Hence, it reduces the purchasing power of the rich people and hence it reduces aggregate demand.

PUBLIC EXPENDITURE

Inflation is controlled by decreasing the public expenditure by the Governments.





MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

2

MONETARY POLICY



BANK RATE POLICY

- Repo rate
- Reverse repo rate
- Marginal standing facility
- Bank rate

In times of inflation, RBI raises repo rate.

VARIABLE RESERVE RATIOS

- CRR
- SLR

In times of inflation, RBI raises CRR / SLR.

OPEN MARKET OPERATIONS

It is buying and selling of Government securities in the open market by RBI.

In times of inflation, RBI sells government securities and hence sucks money circulation.





MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

LONG TERM MEASURES

**REDUCING
CORRUPTION
AND LETHARGY**



**IMPROVING
TRANSPARENCY
THROUGH ICT &
DIGITAL
PAYMENTS**



**CREATING WORLD -
CLASS
INFRASTRUCTURE**



**OVERHAULING LABOUR
LAWS, LAND LAWS,
CREATING WORLD-
CLASS LOGISTICS
INFRASTRUCTURE**



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